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IN THE HIGH COURT OF PUNJAB & HARYANA
AT CHANDIGARH

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CWP No.23807 of 2015
Date of decision: August 4th, 2026

Rainbow Education Society (Regd.)

.....Petitioner

Versus

The State of Haryana and others

.....Respondents

CORAM: HON'BLE MR. JUSTICE VIKAS BAHL
HON'BLE MR. JUSTICE SUBHAS MEHLA

Present: Mr. R.N. Lohan, Advocate
and Ms. Shivani Mishra, Advocate
for the petitioner.

Mr. Saurabh Mago, Deputy Advocate General, Haryana and
Mr. Gaurav Bansal, Deputy Advocate General, Haryana.

VIKAS BAHL, J. (ORAL)

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CHALLENGE IN THE PRESENT PETITION:

1. Challenge in the present writ petition is to the notification dated 04.01.2002 (Annexure P-2) under Section 4 of the Land Acquisition Act, 1894 (hereinafter referred to as ‘Act of 1894’). Challenge is also to the notification dated 31.12.2002 (Annexure P-3) under Section 6 of the Act of



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1894 and to the award dated 29.12.2004 (Annexure P-4). A further challenge has been made to the order dated 15.07.2015 (Annexure P-6) passed by respondent No.3 and a prayer has been made for release of the land of the petitioner measuring 3 *kanals*, 12 *marlas* comprised in *Killa/Khasra* No.58//15/2 situated in the revenue estate of Village Pada, Hadbast No.67, Tehsil and District Rohtak.

BRIEF FACTS OF THE CASE:

2. Brief facts of the present case are that it is the case of the petitioner that the petitioner is a society registered under the Societies Registration Act, 1860 and had purchased the land measuring 3 *kanals* 12 *marlas* comprised in *Killa/Khasra* No.58//15/2 vide sale deed dated 03.11.2000 situated in revenue estate of Village Pada, Tehsil and District Rohtak, although the said sale deed has not been placed on record. It is not disputed that the State of Haryana vide notification dated 04.01.2002 issued under Section 4 of the Act of 1894 sought to acquire land including the abovesaid land for public purpose namely for the development and utilization of residential, transport and communication for setting up Sectors 4 and 5, Rohtak. The said notification was duly published but no objection under Section 5-A of the Act of 1894 was filed by the petitioner. It is further the admitted case of the parties that the notification under Section 6 of the Act of 1894 was issued on 31.12.2002 and the award was passed on 29.12.2004.

3. It is the case of the respondents-State that the total compensation with respect to the entire land was ₹34,68,85,977/- and the same was duly tendered on 29.12.2004 i.e. the date of award itself and that



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out of the said total compensation, an amount of ₹27,08,14,288/- (which constitutes 78% of the total awarded amount) has already been disbursed to the landowners and that the balance amount of ₹7,60,71,689/- in respect of which the landowners did not come forward to receive the payment, is lying deposited in the account of the Land Acquisition Collector and is available for the landowners including the petitioner, to receive the same. The said aspect has not be disputed before this Court. It is further the case of the respondents that the possession of the land in question was handed over to the Estate Office, HUDA on 29.12.2004 vide Rapat No.444 dated 29.12.2004. It is also the case of the respondents that the land in question was lying vacant at the time of notification under Section 4 of the Act of 1894 and the said land affects the integrated planning inasmuch as the 12 metres wide internal circulation road, park as well as development of certain 14 *marlas* plots would be affected in case the land is released. Even the said stand of the respondents could not be disputed before this Court.

4. It is the case of the petitioner that the petitioner had filed CWP No.6990 of 2005 challenging the acquisition proceedings, which was dismissed vide order dated 01.09.2009. Although, the said order has not been placed on record but the said aspect is clearly stated in the list of dates and events and also in the writ petition in paragraph 6 and it is not disputed before this Court that the said order has attained finality. Thus, challenge made by the petitioner to the acquisition proceedings has attained finality.

5. After the coming into force of the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 (hereinafter referred to as the 'Act of 2013'), the petitioner filed the



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present petition by placing reliance upon the provisions of Section 24(2) of the Act of 2013. The same is apparent from para 8 of the writ petition. The present writ petition was disposed of by the coordinate Division Bench of this Court vide order dated 18.01.2018 in the same terms as CWP No.13778 of 2007 titled as ***Vijay Singh and another Vs. State of Haryana and others*** decided on 12.12.2016. The case of ***Vijay Singh and another (supra)*** was allowed and it was declared that the acquisition of land of the petitioners therein shall be deemed to have lapsed under Section 24(2) of the Act of 2013. The State of Haryana had filed Special Leave to Appeal No.5064 of 2024, which was converted into Civil Appeal No.3146 of 2024 against the judgment passed by the coordinate Division Bench in the case of present petitioner.

6. The Hon'ble Supreme Court vide order dated 23.02.2024 set aside the judgment in favour of the petitioner and remitted the matter to the High Court for fresh consideration in light of the judgment of the Hon'ble Supreme Court in the case of **Indore Development Authority Vs. Manoharlal and others** reported as **(2020) 8 SCC 129**. The relevant portion of the said judgment is reproduced hereinbelow:

“5. Having heard the learned counsel for the appellants, the learned counsel for respondent at length and carefully perusing the material placed on record, it appears that the High Court had declared the acquisition proceedings in question as lapsed in view of Section 24(2) of the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and



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Resettlement Act, 2013. However, it is not disputed by the learned counsels for the parties that in view of the later decision in the case of "Indore Development Authority vs. Manoharlal And Ors. Etc." reported in (2020) 8 SCC (129), the matter is required to be remitted to the High Court for fresh consideration.

6. *In view of the above, the impugned order passed by the High Court is set aside and the matter is remitted to the High Court for fresh consideration in the light of the Judgment in the case of Indore Development Authority (supra).*

7. *It is clarified that all contentions are kept open to be raised by both the parties as may be legally permissible.*

8. *The appeal stands allowed in above terms.*

NEW DELHI;

23RD FEBRUARY 2024."

7. After the remand of the case, the matter has been listed before this Court for adjudication.

ARGUMENTS ON BEHALF OF THE PETITIONER:

8. Learned counsel for the petitioner has submitted that the petitioner is still in actual physical possession of the land in question and has also stated that the compensation amount has not been paid to the petitioner.

It is thus submitted that, as per the provisions of Section 24(2) of the Act of 2013, the acquisition would stand lapsed even as per the law which now



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prevails.

ARGUMENTS ON BEHALF OF THE RESPONDENTS:

9. Learned counsel for the respondents/State, on the other hand, has submitted that in view of the abovesaid undisputed facts, the case is squarely covered against the petitioner by virtue of the judgment of the Hon'ble Supreme Court in the case of *Indore Development Authority (supra)*. It is further submitted that the writ petition filed by the petitioner at the first instance had also been dismissed and thus, the petitioner cannot raise any plea on merits. It is further submitted that the present petition also deserves to be dismissed on the ground of delay and laches as the present petition had been filed in the year 2015 i.e. after a period of 11 years from the date of passing of the award which was in the year 2004.

ANALYSIS AND FINDINGS:

10. After having heard learned counsel for the petitioner and learned counsel for the respondents/State, this Court is of the opinion that the present writ petition deserves to be dismissed on more than one ground. The first ground on which the writ petition deserves to be dismissed is the ground of delay and laches. It is not in dispute that the award in the present case was passed on 29.12.2004 and thereafter, the writ petition filed by the petitioner i.e. CWP-6990-2005 was dismissed on 01.09.2009. The present writ petition had been filed in the year 2015 after a period of 11 years from the date of the passing of the award and after a period of six years from the date on which the earlier writ petition filed by the petitioner was dismissed.

11. The coordinate Division Bench of this Court in the case of *Desraj and others Vs. State of Haryana and others* reported as **2022(4) RCR**



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(Civil) 298 had observed that in the cases in which challenge is made to the notifications vide which land is sought to be acquired, the concept of negating the challenge on account of the doctrine of delay and laches is well recognized. It was observed that even in case there were procedural irregularities or the status of the land at the time of initiation of the acquisition proceedings had not been taken into consideration in a proper manner, at the time of rejecting the objections filed under Section 5A of the 1894 Act, the landowner was not entitled to raise such pleas after much delay, as such pleas have to be raised at the first instance and immediately when the cause of action arises to the landowner. It was further observed that in case the landowner chooses to remain silent and allows the State to proceed, then, apart from the fact that the case is to be rejected on the ground of delay and laches, even the doctrine of acquiescence would come into play, which is sufficient to take away that right and any such plea is required to be rejected at the threshold. It was also observed that such silence would be conclusive evidence of the waiver of interest on the part of the litigant and that the doctrine of acquiescence acts as an estoppel which bars the litigant from complaining about the violation of his right. It was further observed that dead and stale claims cannot be revived at a belated stage.

12. The Co-ordinate Division Bench in the abovesaid judgment had made the said observations after taking into consideration the well known facet of law that whensoever there was conflict between public interest and private interest, the private interest has to make way for the public interest. The challenge thus made by the petitioners therein to the acquisition proceedings was rejected by taking into consideration the delay in



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challenging the same. The Division Bench in the abovesaid case also took into consideration the judgment of the Constitutional Bench of the Hon'ble Supreme Court in the case of *Indore Development Authority (supra)* in which it had been observed that the dead and stale claims cannot be revived.

13. This Court has seen that in a large number of cases of acquisition of land under the Act of 1894, which had been initiated decades earlier and in which, the award had also been passed and where the landowners either had filed a petition and had lost their case or had not filed any petition, suddenly sprung up after the coming into force of the new Act i.e. The Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 in order to take benefit of Section 24(2) of the said Act which provides for lapsing of the acquisition proceedings in certain circumstances. In the said belated writ petitions, an endeavour has also been made to raise issues which had become stale and dead and which the landowners had acquiescence to or were barred from raising the same on the ground of delay and laches. Further, after the plea under Section 24(2) of the 2013 Act had been finally answered by the Hon'ble Supreme Court in the Constitution Bench judgment in the case of *Indore Development Authority (supra)* against the landowners, the landowners instead of resting their case have now sought to raise pleas which were barred in view of the abovesaid principles and thus, endlessly engaged the Court with respect to settled acquisitions, bringing no finality to the acquisition proceedings and inordinately delaying the development of the area concerned. The present case is also one such case.

14. Additionally, it would be relevant to mention that the writ



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petition i.e. CWP-6990-2005, filed by the petitioner, challenging the acquisition proceedings was dismissed on 01.09.2009 and as has been fairly stated before this Court, no further challenge was made to the said judgment.

15. The arguments raised on behalf of the petitioner to the effect that actual physical possession has not been taken and the compensation has not been paid to the petitioner and thus, the proceedings have lapsed is also meritless and deserves to be rejected. As has been noticed hereinabove, it is the specific stand of the respondents-State that the possession of the land in question has been taken vide Rapat No.444 dated 29.12.2004 which aspect could not be disputed before this Court. Moreover, 78% of the total amount awarded has been disbursed to the landowners, which fact, could also not be disputed before this Court. The averments made in paragraph 3 of the additional affidavit, which have not been rebutted, reads as under:

“3. That it is respectfully submitted that the total amount of compensation of awarded land measuring 455.14 acres worked out to Rs. 34,68,85,977/- and the same was duly tendered on 29.12.2004. Out of the total compensation amount, the LAC had already disbursed an amount of Rs.27,08,14,288/- to the landowners, which constitutes 78% of the total Award amount. Hence, compensation of majority of land holdings has been paid by the LAC. The balance amount of Rs. 7,60,71,689/-, in respect of which the landowners did not come forward to receive the payment, is lying deposited in the account of the LAC. The compensation amount i.e. Rs.3,35,806/- has not been taken by the present petitioners.”



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16. In the said circumstances, even in case the petitioner has not taken its compensation, which has been duly tendered, would neither call for setting aside the acquisition proceedings nor would result in lapse of acquisition. Moreover, after the issuance of the said rapat, which was in accordance with law, in case the petitioner is still continuing to be in actual physical possession, then as per the law laid down by the Hon'ble Supreme Court in the case of *Indore Development Authority (supra)*, the petitioner is to be considered as a trespasser. The Hon'ble Supreme Court in the said judgment had observed that word 'or' used in Section 24(2) between possession and compensation has to be read as 'nor' or as 'and' and the deemed lapse of land acquisition proceedings under the said provision could only be in a situation where the possession of land has not been taken nor compensation has been paid and in other words, in case the possession has been taken but the compensation has not been paid there would be no lapse and similarly if compensation has been paid and possession has not been taken then also there would be no lapse. It was further observed that in case the obligation under Section 31 of the 1894 Act had not been fulfilled, then, interest under Section 34 of the said Act is to be granted and non-deposit of compensation in court does not result in the lapse of land acquisition proceedings and in case of non-deposit with respect to the majority of holdings for five years or more, then, compensation under the Act of 2013 is required to be paid to the "landowners". It was further observed that the landowners who had refused to accept compensation or sought reference for higher compensation, then, they cannot claim that the acquisition proceedings had lapsed under Section 24(2) of the Act. The Hon'ble



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Supreme Court had further specifically observed that the provision of Section 24(2) of the Act of 2013 does not give rise to a new cause of action to question the legality of concluded proceedings and applies only to a proceeding pending on the date of enforcement of the Act of 2013, i.e., 1.1.2014 and does not revive stale and time-barred claims and does not allow the landowners to question the legality of mode of taking possession to reopen proceedings. With respect to mode of taking possession under the 1894 Act, it was observed that drawing of *panchnama* i.e. inquest report/*rapat roznamcha* was valid proof of taking possession in land acquisition cases and subsequent to the same, the land would vest in the State and any re-entry or retaining the possession thereafter was unlawful and the person who continued in possession would be a trespasser. Para 363 of the said judgment is reproduced as under: -

“363. In view of the aforesaid discussion, we answer the questions as under:

- 1. Under the provisions of Section 24(1)(a) in case the award is not made as on 1.1.2014 the date of commencement of Act of 2013, there is no lapse of proceedings. Compensation has to be determined under the provisions of Act of 2013.*
- 2. In case the award has been passed within the window period of five years excluding the period covered by an interim order of the court, then proceedings shall continue as provided under Section 24(1)(b) of the Act of 2013 under the Act of 1894 as if it has not been repealed.*
- 3. The word ‘or’ used in Section 24(2) between possession and compensation has to be read as ‘nor’ or as ‘and’. The deemed lapse of land acquisition proceedings under Section 24(2) of the Act of 2013 takes place where due to inaction of authorities for five years or more prior to commencement of the said Act, the possession of land has not been taken nor compensation has been paid. In other words, in case*



possession has been taken, compensation has not been paid then there is no lapse. Similarly, if compensation has been paid, possession has not been taken then there is no lapse.

4. *The expression 'paid' in the main part of Section 24(2) of the Act of 2013 does not include a deposit of compensation in court. The consequence of non-deposit is provided in proviso to Section 24(2) in case it has not been deposited with respect to majority of land holdings then all beneficiaries (landowners) as on the date of notification for land acquisition under Section 4 of the Act of 1894 shall be entitled to compensation in accordance with the provisions of the Act of 2013. In case the obligation under Section 31 of the Land Acquisition Act of 1894 has not been fulfilled, interest under Section 34 of the said Act can be granted. Non-deposit of compensation (in court) does not result in the lapse of land acquisition proceedings. In case of non-deposit with respect to the majority of holdings for five years or more, compensation under the Act of 2013 has to be paid to the "landowners" as on the date of notification for land acquisition under Section 4 of the Act of 1894.*

5. *In case a person has been tendered the compensation as provided under Section 31(1) of the Act of 1894, it is not open to him to claim that acquisition has lapsed under Section 24(2) due to non-payment or non-deposit of compensation in court. The obligation to pay is complete by tendering the amount under Section 31(1). Land owners who had refused to accept compensation or who sought reference for higher compensation, cannot claim that the acquisition proceedings had lapsed under Section 24(2) of the Act of 2013.*

6. *The proviso to Section 24(2) of the Act of 2013 is to be treated as part of Section 24(2) not part of Section 24(1)(b).*

7. *The mode of taking possession under the Act of 1894 and as contemplated under Section 24(2) is by drawing of inquest report/memorandum. Once award has been passed on taking possession under Section 16 of the Act of 1894, the land vests in State there is no divesting provided under Section 24(2) of the Act of 2013, as once possession has been taken there is no lapse under Section 24(2).*

8. *The provisions of Section 24(2) providing for a deemed lapse of*



proceedings are applicable in case authorities have failed due to their inaction to take possession and pay compensation for five years or more before the Act of 2013 came into force, in a proceeding for land acquisition pending with concerned authority as on 1.1.2014. The period of subsistence of interim orders passed by court has to be excluded in the computation of five years.

9. Section 24(2) of the Act of 2013 does not give rise to new cause of action to question the legality of concluded proceedings of land acquisition. Section 24 applies to a proceeding pending on the date of enforcement of the Act of 2013, i.e., 1.1.2014. It does not revive stale and time-barred claims and does not reopen concluded proceedings nor allow landowners to question the legality of mode of taking possession to reopen proceedings or mode of deposit of compensation in the treasury instead of court to invalidate acquisition.

Let the matters be placed before appropriate Bench for consideration on merits.”

17. It was also observed that when the State Government acquires land and draws up a memorandum of taking possession, that amounts to taking physical possession of the land and that on the property which is acquired, the Government is not supposed to put some other person or the police force in possession to retain it and start cultivating it till the land is used by it for the purpose for which it has been acquired nor the Government is supposed to start residing or to physically occupy it once possession has been taken by drawing the inquest proceedings/*rapat roznamcha*.

18. With respect to interpretation of the word 'paid' used in Section 24(2) and 'deposited' used in the proviso to Section 24(2) detailed observations were made and it was observed that the deposit in treasury in place of deposit in court causes no prejudice to the landowner or any other stakeholder as their interest is adequately safeguarded by the provisions



contained in Section 34 of the Act of 1894, which ensures higher rate of interest than any other Government securities and the said money is safe and can be made available for disbursement to the landowners. In para 228, the Hon'ble Supreme Court had even taken into consideration the standing Order No.28 which was issued in 1909 by the State of Punjab, which provided five modes of payment and it was further observed that the said rules and the standing orders are binding on the concerned Authorities. Paras 228 and 230 of the said judgment is reproduced herein below: -

“228. Standing Order No.28 was issued in 1909 by the State of Punjab and was applicable to Delhi also, which provided five modes of payment in para 74 and 75 thus:

“74. Methods of making payments.—There are five methods of making payments:

- (1) By direct payments, see Para 75(I) infra*
- (2) By order on treasury, see Para 75(II) infra*
- (3) By money order, see Para 75(III) infra*
- (4) By cheque, see Para 75(IV) infra*
- (5) By deposit in a treasury, see Para 75(V) infra*

xxx xxx xxx xxx

230. Deposit in treasury in place of deposit in court causes no prejudice to the landowner or any other stakeholder as their interest is adequately safeguarded by the provisions contained in Section 34 of the Act of 1894, as it ensures higher rate of interest than any other Government securities. Their money is safe and credited in the earmarked quantified amount and can be made available for disbursement to him/them. There is no prejudice caused and every infraction of law would not vitiate the act.”

19. It is thus apparent that the entire law with respect to possession, payment of compensation, vesting and non-revival of stale and time barred claims had been crystallized in the above-said judgment. Since in the present



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case, as has been detailed hereinabove, the respondents have met the said parameters, thus, the plea raised by the petitioner on the aspect of Section 24(2) of the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 deserves to be rejected.

20. It is also not in dispute that the land in question at the time of the issuance of the notification was vacant land and it is the case of the respondent-authorities, which has not been rebutted, that the said land affects the integrated planning inasmuch as the 12 *marla* wide internal circulation road, park as well as development of 14 *marla* plots would be affected in case the said land is released. Thus, keeping in view the abovesaid facts and circumstances, the present writ petition being meritless deserves to be dismissed and is accordingly dismissed.

(VIKAS BAHL)
JUDGE

August 4th, 2026
Puneet

(SUBHAS MEHLA)
JUDGE

Whether reasoned/speaking?	Yes
Whether reportable?	Yes